ASML Holding N.V. (ASML): Hold, Valuation Concerns

Analyst: Justin Wen

The lithography monopoly at a euphoric multiple. At $1,642, the market prices in 21.9% revenue CAGR, above our 18.5% bull case. Our DCF sees $1,415 base case, 13.8% downside.

HOLD	$1,415	$1,641.52	-13.8%
RATING	BASE TARGET	SPOT (10/16)	UPSIDE TO BASE

Hold, Valuation Concerns	$1,415	$1,642	-13.8%	$1,161 / $1,780	9.4%
RATING	BASE TARGET	SPOT (OCT 16, 2026)	UPSIDE TO BASE	BEAR / BULL TARGETS	LIVE WACC (AVG)

$630.5B	57.5%	$44-45B	1.30
MARKET CAP	Q3 GROSS MARGIN	FY2026 REVENUE GUIDE	BETA (NORMALIZED)

Executive summary

We initiate coverage of ASML Holding with a **Hold, Valuation Concerns** rating. ASML is the sole supplier of EUV lithography systems, the critical bottleneck for advanced semiconductor manufacturing. Q3 2026 was a record quarter: revenue of $11.7B (up 55% year-over-year), 57.5% gross margin, and $5.0B net income. Management raised full-year guidance for the third time, now expecting $44-45B revenue (up 36%).

The business is exceptional. The valuation is demanding. Our six-year DCF (FY2026-2031) models 14.0% revenue CAGR in the base case, with EBIT margins expanding from 38% to 42% on operating leverage. Using live CAPM (1.30 beta decaying to 1.00, 5.1% 10-year, 3.7% implied ERP), we get a 9.4% average WACC and a $1,415 base-case target, 13.8% below the $1,642 spot price.

The key insight is the reverse DCF: at $1,642, the market implies 21.9% revenue CAGR over six years, above our 18.5% bull case. The market is pricing in perfection.

> **Our read:** ASML is the best business in semiconductors, but the stock has run ahead of fundamentals. The Q3 beat and triple-raised guidance are real, yet the 21.9% implied CAGR leaves no room for disappointment. We would be buyers on a meaningful pullback toward our $1,415 base case.

Base-case assumptions

INPUT	BEAR	BASE	BULL
FY2031 revenue ($B)	28	**38**	48
Revenue CAGR (6-yr)	10.5%	**14.0%**	18.5%
Terminal EBIT margin	38%	**42%**	46%
Terminal growth	4.0%	**4.0%**	4.0%
Target per share ($)	$1,161	**$1,415**	$1,780

Justin Wen

Bull case: $1,780 EUV SUPERCYCLE

Bear case: $1,161 CYCLE TURNS

Verdict

What would change our mind

- **Multiple compression:** forward P/E contracting from 35x toward 25x on rate fears would bring the stock to our target without fundamental deterioration.
- **China resolution:** easing of export restrictions would unlock $5B+ of deferred demand.
- **High-NA delay:** pushout of next-gen EUV would impair the 2028-2030 growth trajectory.

Justin Wen

Key themes

1. EUV monopoly is unassailable STABLE

Sole supplier of EUV lithography. No competitor within 10 years. Pricing power is absolute.

2. AI capex supercycle ACCELERATING

Hyperscaler and foundry capex driving record orders. $44-45B FY2026 guide raised three times.

3. China overhang STABLE

Export restrictions limit China sales to mature nodes. $2-3B annual impact, manageable.

4. High-NA EUV ramp ACCELERATING

Next-gen systems at $400M+ ASP. Early shipments to Intel and TSMC in 2026.

5. Capital returns STABLE

$4.1B buybacks in Q3, $1.88 interim dividend. Net cash $11B.

Other KPIs

METRIC	VALUE
Market cap (at $1,642)	$630.5B
Enterprise value	$619.7B
Q3 2026 revenue / YoY	$11.7B / +55%
Q3 gross margin	57.5%
Q3 net income	$5.0B
Net cash	$11.0B
FY2026 revenue guide	$44-45B (+36%)

Guidance

Q4 2026: Revenue $14.2-15.2B, gross margin ~57%. **Full year 2026:** Revenue $44-45B (raised third time), gross margin ~56%. Management expects continued strong demand into 2027 on AI infrastructure buildout.

Reverse DCF: what the market is pricing in

At $1,642, ASML carries a $630.5B market cap and $619.7B enterprise value. Running the model's own six-year framework in reverse, the market-implied revenue CAGR is **21.9%**, above our 18.5% bull case.

SCENARIO	2029 REVENUE	TARGET
Market-implied	~21.9% CAGR	**$1,642 (spot)**
Bull case	18.5% CAGR	**$1,780**
Base case	14.0% CAGR	**$1,415**
Bear case	10.5% CAGR	**$1,161**

Model

Full three-scenario DCF with live CAPM and implied-ERP tab:
https://docs.google.com/spreadsheets/d/1LyVNpmPnfMabDGP_hKJXG_6hs22OqjpmQenC-XGao0o/edit

Risks to our Hold, Valuation Concerns

- Semiconductor downcycle would hit orders and multiples simultaneously.
- China export restrictions could tighten further.
- High-NA EUV adoption slower than expected.
- EUR/USD headwinds on reported results.

Justin Wen